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The Long Arm of the Regulator

The year 2014 started on a promising note. The rally that began in September 2013 was showing no signs of fatigue. With each passing day, the market seemed to be getting more confident of the BJP coming to power at the Centre. The party's prime ministerial candidate Modi promised to transform the economy in no time if his party was voted to power. Weary of endemic scams and runaway inflation, everybody was willing to believe that Modi had a magic wand to set things right. The stock market bulls were bracing for what they thought would be the return of the golden period for the economy and the mother of all bull runs. I too was one among them.

Suddenly, things started going rapidly downhill for me. I received a letter from the regulator seeking clarification about the trades I had done in a bulk drugs company a few weeks before it was acquired by a mid-sized pharma company. I will come clean on this one. I had done the trades for a well-connected investment banker who was advising the acquirer. I had taken up some positions myself, in addition to the shares I had bought for the banker. I had executed the banker's trades through some fictitious client accounts and then settled in cash. There was no way he could be linked to the trades, even though they had been done based on the information he had provided. I thought I had covered my tracks well by spreading the orders across a few brokers I could trust. Later I learnt that all of them had received letters from the regulator seeking an explanation for the trades they had done in the stock. I knew at least one of them would squeal on me to escape trouble. That would put me in a spot because I had traded quite heavily in the stock just ahead of the acquisition.